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BUSINESS • EARNINGS

Netflix's Global Growth Fuels Surge in Subscribers

Streaming-video giant has prioritized expansion over profits, as it pursues its international rollout

By Maria Armental and Joe Flint

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Netflix Inc.'s subscriber additions surged in the fourth quarter, fueled by an aggressive international expansion, as the streaming giant continues to stock up on content it hopes will appeal across multiple countries.

The company added 5.12 million subscribers abroad in the period and 1.93 million in the U.S., beating both internal and Wall Street targets and delivering the biggest quarterly subscription growth in its history. Netflix ended the year with 93.8 million total subscribers, including 49.4 million in the U.S.

“We’re thrilled with our global expansion,” Netflix Chief Executive Reed Hastings said during a video chat to discuss the results. The goal during the next few years, he said, is to keep “spreading and evangelizing this vision of internet TV.”

The streaming video giant has prioritized growth over profit as it pursues its international rollout—it is now available in almost every country and territory—and ramps up investments in original programming, with plans to spend \$6 billion in 2017 up from \$5 billion last year.

Those bets have weighed on financial results. Netflix said in a letter Wednesday to shareholders it expects to increase profit margins gradually—with improvements expected in the international unit this year.

The company, however, believes the investments are necessary to consolidate its advantage in an increasingly competitive arena. Rivals such as Amazon also are seeking global growth and are upping the ante with their own content-buying sprees.

“We are in no rush to push margins up too quickly, as we want to ensure we are investing aggressively enough to continue to lead internet TV around the world,” Netflix said in the letter.

In the latest period, gross-profit margin improved to 33.2% from 31.5% a year earlier. The strategy is playing well with investors. Netflix shares, which on Wednesday set a 52-week-high during regular trading, rose 8% in after-hours trading.

Over all, Netflix's fourth-quarter profit rose 55% to \$66.7 million, or 15 cents a share. Revenue rose 36% to \$2.48 billion. Analysts surveyed by Thomson Reuters had projected earnings of 13 cents a share on \$2.47 billion in revenue.

Netflix ended the quarter with \$1.47 billion in cash and about \$3.36 billion in debt; streaming content obligations were \$14.5 billion, from \$14.4 billion in the previous quarter and \$10.9 billion a year ago.

The international streaming business's contribution loss narrowed to \$67 million from \$109 million in the year-ago period. Netflix said the international unit would run a profit in the first quarter, then go back to a loss in the second quarter as the company continues its spending drive.

Popular Netflix shows include 'The Crown,' a British royal-family drama. [NETFLIX](#)

One big question for investors has been whether shows that are popular in one Netflix market, such as the U.S. or U.K., will work well in other parts of the world.

Brazilian sci-fi thriller '3%' NETFLIX

Spending big on content makes more economic sense if it can draw in paying subscribers around the world.

In its letter to shareholders, Netflix said it is having success in that area with shows such as “The Crown,” a drama about Britain’s royal family, Marvel’s “Luke Cage” and the Brazilian sci-fi thriller “3%,” which it said has found an audience throughout Latin America and even in the U.S.

Marvel's 'Luke Cage' NETFLIX

“It is clear to us that high-quality content travels well across borders,” Netflix said.

service’s new episodes of the young-adult drama “Gilmore Girls” as having stronger than expected international appeal.

In the earnings discussion, Netflix’s head of entertainment, Ted Sarandos, cited the

In the domestic market, Netflix’s 1.93 million user additions outpaced the 1.56 million it added in the year-earlier period. That is significant because the segment, its biggest source of profit, seemed to be slowing. In the second quarter, it added 370,000 U.S. subscribers, sharply down from 880,000 in the previous year.

Netflix expects the subscriber growth to continue this quarter, projecting an additional 5.2 million members, including 3.7 million abroad and 1.5 million in the U.S.

Two areas of programming Netflix has been spending heavily in are stand-up comedy and unscripted content. Mr. Sarandos said recent deals with comedians Chris Rock, Dave Chappelle and Jerry Seinfeld can be a “subscriber acquisition driver.”

Netflix has been a high-profile supporter of “net neutrality” regulations that require broadband providers to treat all internet traffic equally and refrain from giving certain services preferential treatment.

In the letter, the company said it hopes the new administration of President-elect Donald Trump and Congress “will recognize that keeping the network neutral drives job growth and innovation.”

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